

Global Superstore: The Revival Strategy

From forensic diagnosis to a 6-12 month turnaround plan

Syndicate 6

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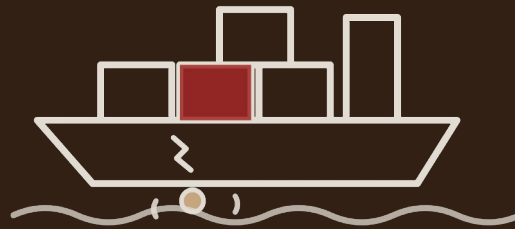
Analytics Taskforce for the Chief Strategy Officer • FY2011-FY2014 transaction ledger, 51,290 order lines



Sales are growing; profit is leaking through discounting and freight

One key message for the Board

Global Superstore does not have a growth problem. It has a margin-leakage problem: about a quarter of all order lines sell at a loss, and the loss is concentrated in deep discounts and loss-making overseas territories. Tightening price control and fixing those territories recovers roughly \$1.23M of operating profit without adding a single new sale.



The evidence in four numbers

\$2.26M → \$4.30M

Revenue over four years (+90.3%, 23.9% a year)

11.6%

Operating margin, four-year average (annual range: 11.0% to 11.9%)

-\$920,646

Profit destroyed by 12,544 loss-making lines (24.5%)

+\$1.23M

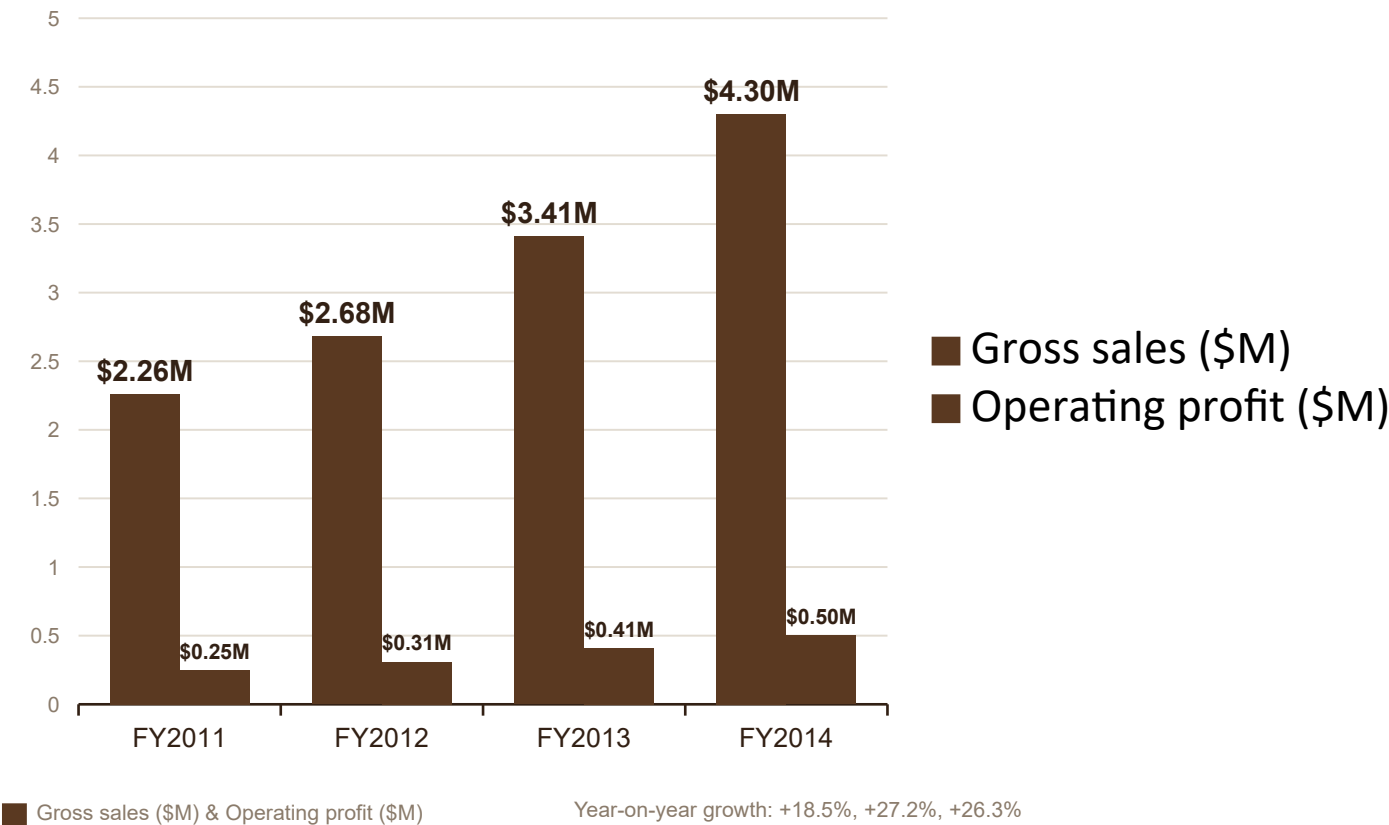
Operating profit recoverable on the current ledger (+84%)

Source: Global Superstore transaction ledger, FY2011-FY2014 (51,290 order lines). Operating profit is reported profit after cost of goods and freight. Recovery is the base-case simulation output (analytics model, this deck), about \$0.31M a year on the same run-rate.

Revenue grew 90% to \$4.3M and operating profit more than doubled

Gross sales and operating profit

\$ million (bars), FY2011-FY2014



Source: Global Superstore transaction ledger, FY2011-FY2014. Operating profit is reported profit after cost of goods and freight.

Growth is genuine and volume-driven

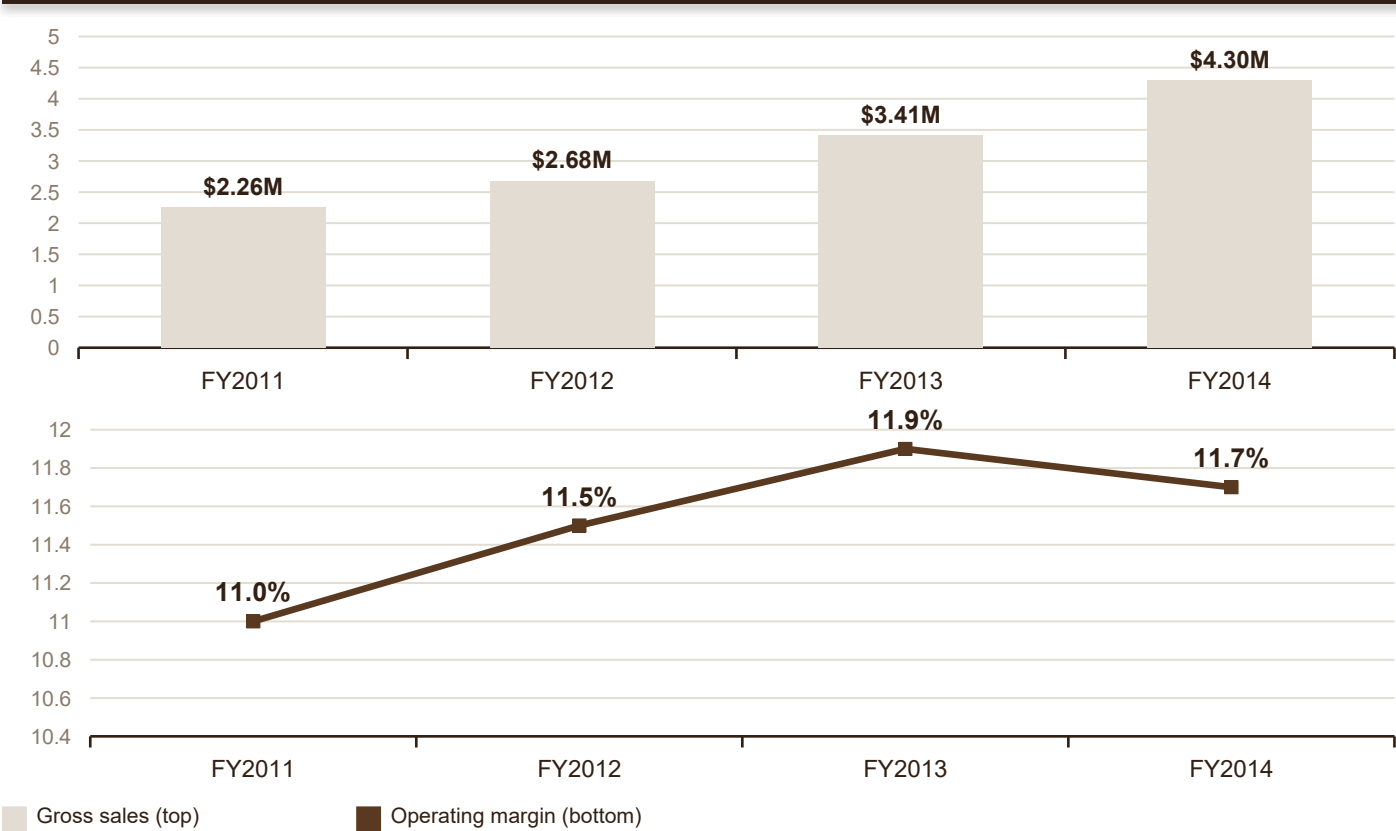
- Revenue rose every year, from \$2.26M in FY2011 to \$4.30M in FY2014 (+90.3%).
- Operating profit rose every year too, from \$249K to \$504K (+102.5%).
- Order volume grew from 4,440 to 8,531 orders; average order value stayed flat at about \$505.
- Growth came from more customers and orders, not from raising prices.

Order Volume: 4,440 → 8,531 (+92.1%) | Avg Order Value: ~\$505 (flat, -0.9%)

Operating margin stayed near 11% while sales climbed 90%

Gross sales and operating margin

\$ million (top) · margin % (bottom)



Volume was rewarded, margin was not

- Revenue compounded at 23.9% a year, but operating margin moved only from 11.0% to 11.7%.
- Profit grew almost exactly in line with revenue, so every extra dollar of sales carried the same thin margin.
- The company measures and pays for gross volume, so sales teams had no reason to defend price.
- Margin, not revenue, is the number the Board should track from here.

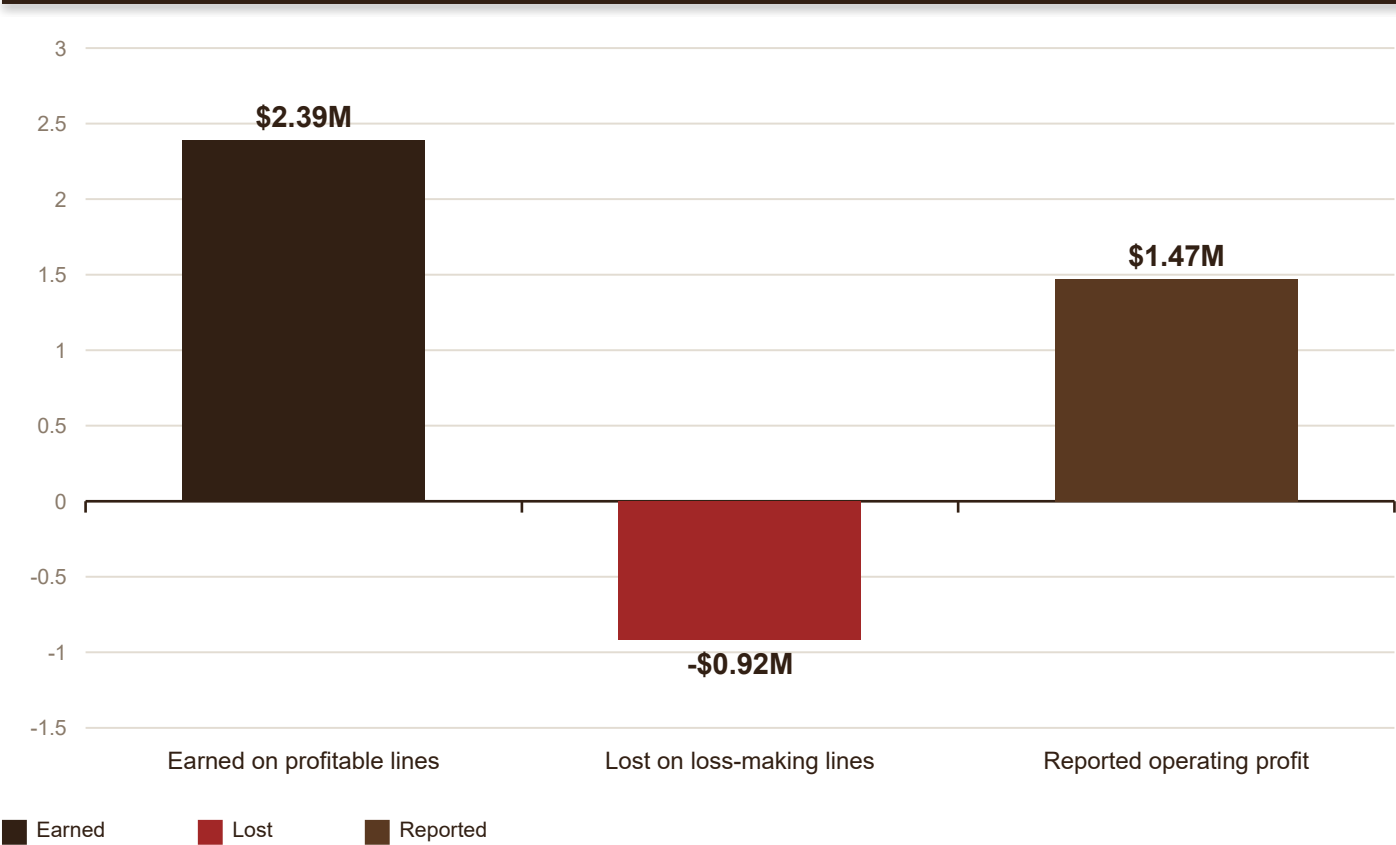


Source: Global Superstore transaction ledger, FY2011-FY2014. Operating margin = profit / gross sales.

One in four order lines loses money and drains \$921K of earned profit

From earned profit to reported profit

\$ million, FY2011-FY2014 cumulative



What the bridge shows

- Profitable lines earn \$2.39M before the losses; that core is strong on its own.
- 12,544 lines (24.5% of all lines) were priced at a loss and removed \$0.92M of that profit.
- Reported operating profit of \$1.47M understates how profitable the healthy core really is.
- The loss is a pricing and cost-to-serve outcome, not a weak market.

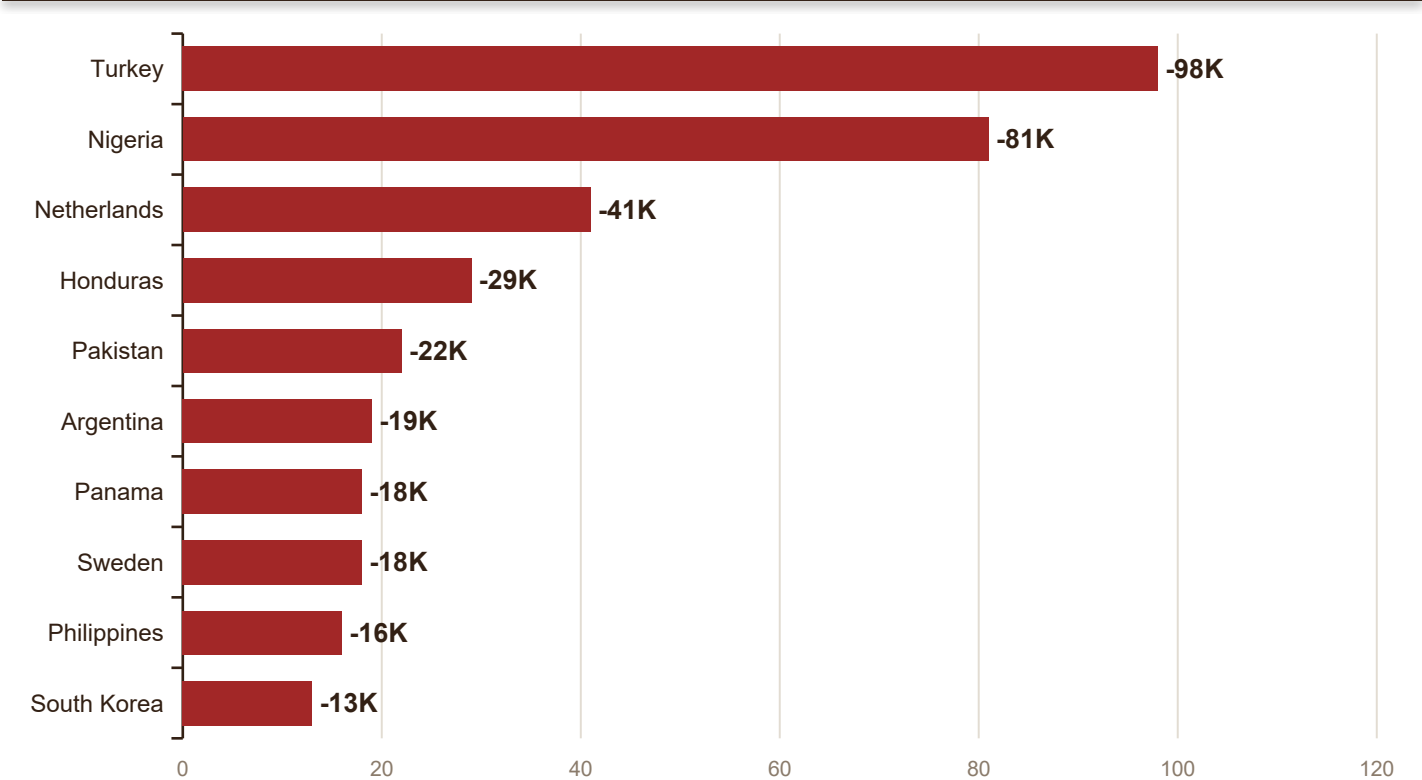


Source: Global Superstore transaction ledger, FY2011-FY2014. A line is loss-making where reported profit, net of cost of goods and freight, is negative.

Losses concentrate in four countries, led by Turkey and Nigeria

Operating profit by country

\$ thousand, FY2011-FY2014 cumulative



A company-policy loss, not a market loss

- Turkey (-\$98K) and Nigeria (-\$81K) alone account for \$179K of the deficit.
- 29 of 147 countries are net-negative; the top four carry 56% of that deficit.
- Both were sold at extreme average discounts: 60% in Turkey and 70% in Nigeria.
- The EMEA market (Europe, Middle East and Africa) runs a 5.4% margin, well below 12-13% in the other markets.
- No discount or freight cost was charged back to these territories, so their losses were absorbed centrally.

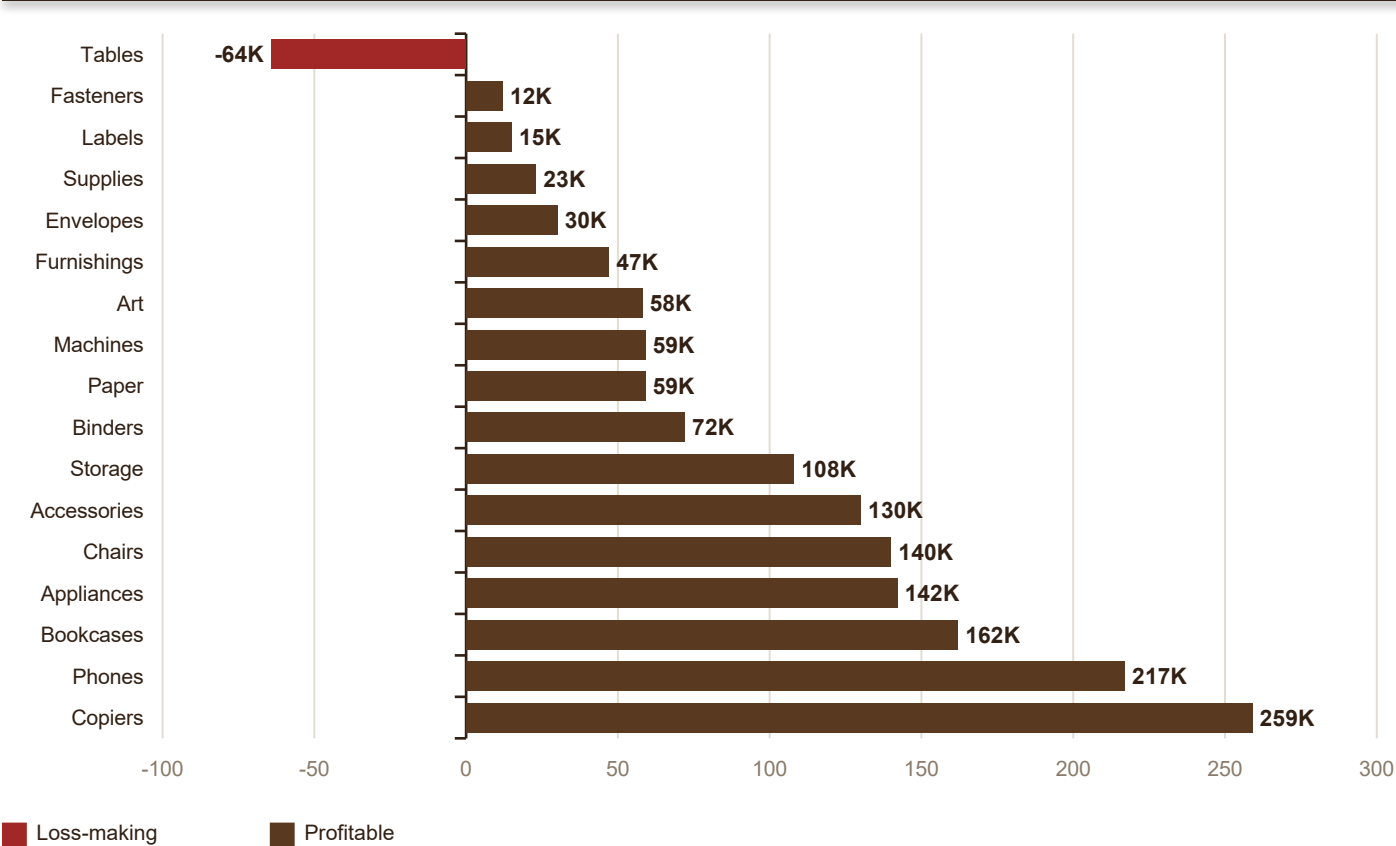


Source: Global Superstore transaction ledger, FY2011-FY2014. Discount is the order-line average; country profit is net of all lines in that country.

Tables is the only one of 17 sub-categories that loses money

Operating profit by sub-category

\$ thousand, FY2011-FY2014 cumulative



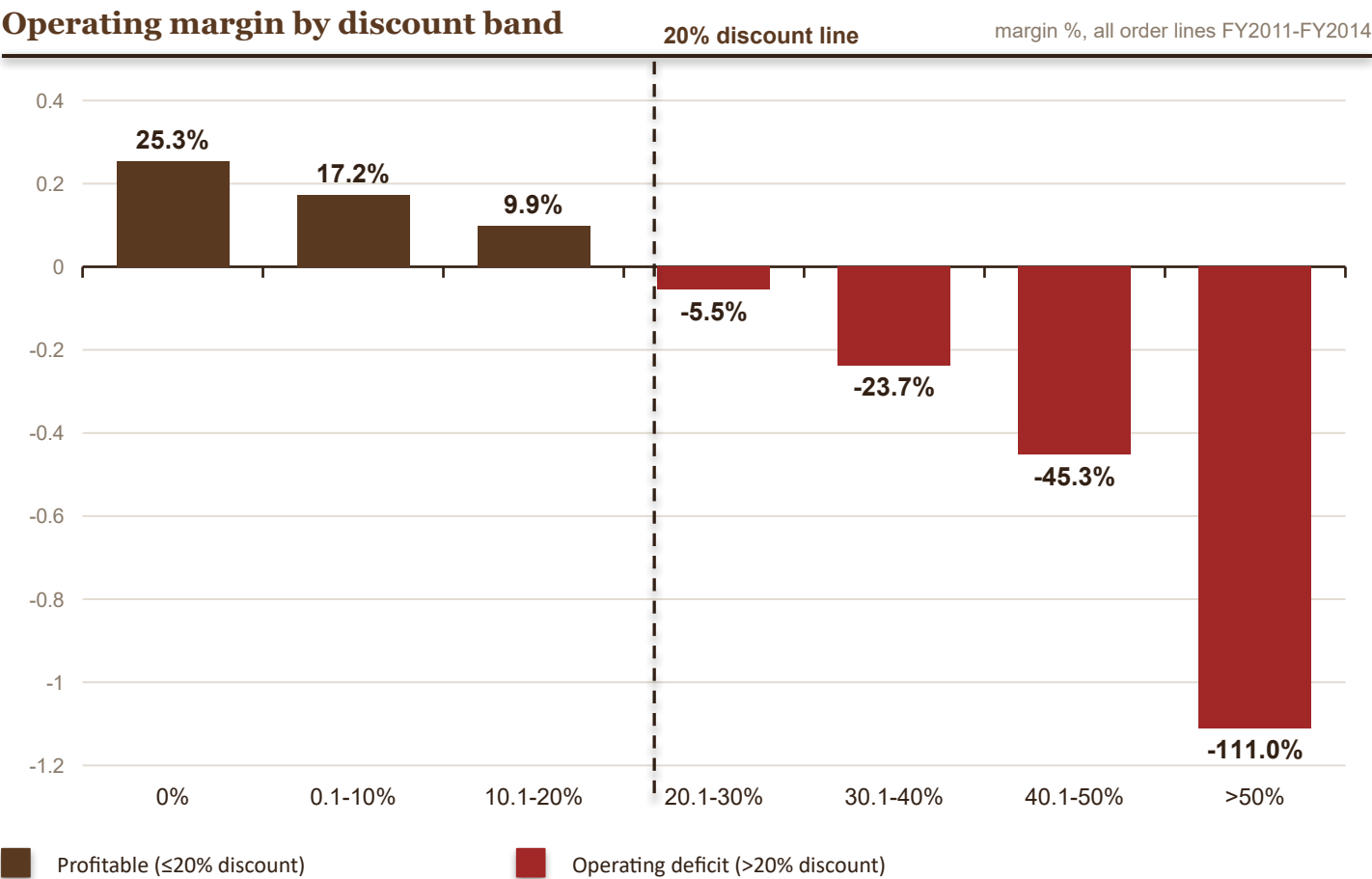
A pricing and freight problem, not demand

- Tables lost \$64.1K on \$757K of sales, a -8.5% margin, and is the only deficit sub-category.
- It carried a 29.1% average discount plus the highest freight per unit of any line.
- The rest of the portfolio is profitable: Copiers +\$259K, Phones +\$217K, Bookcases +\$162K.
- Furniture overall runs a 6.9% margin against 14.0% for Technology.



Source: Global Superstore transaction ledger, FY2011-FY2014. All 17 sub-categories, ranked by operating profit.

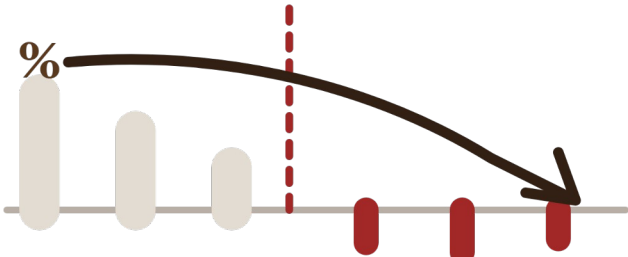
Order economics invert once the discount passes 20%



Source: Global Superstore transaction ledger, FY2011-FY2014. Bands follow the discount distribution in the ledger.

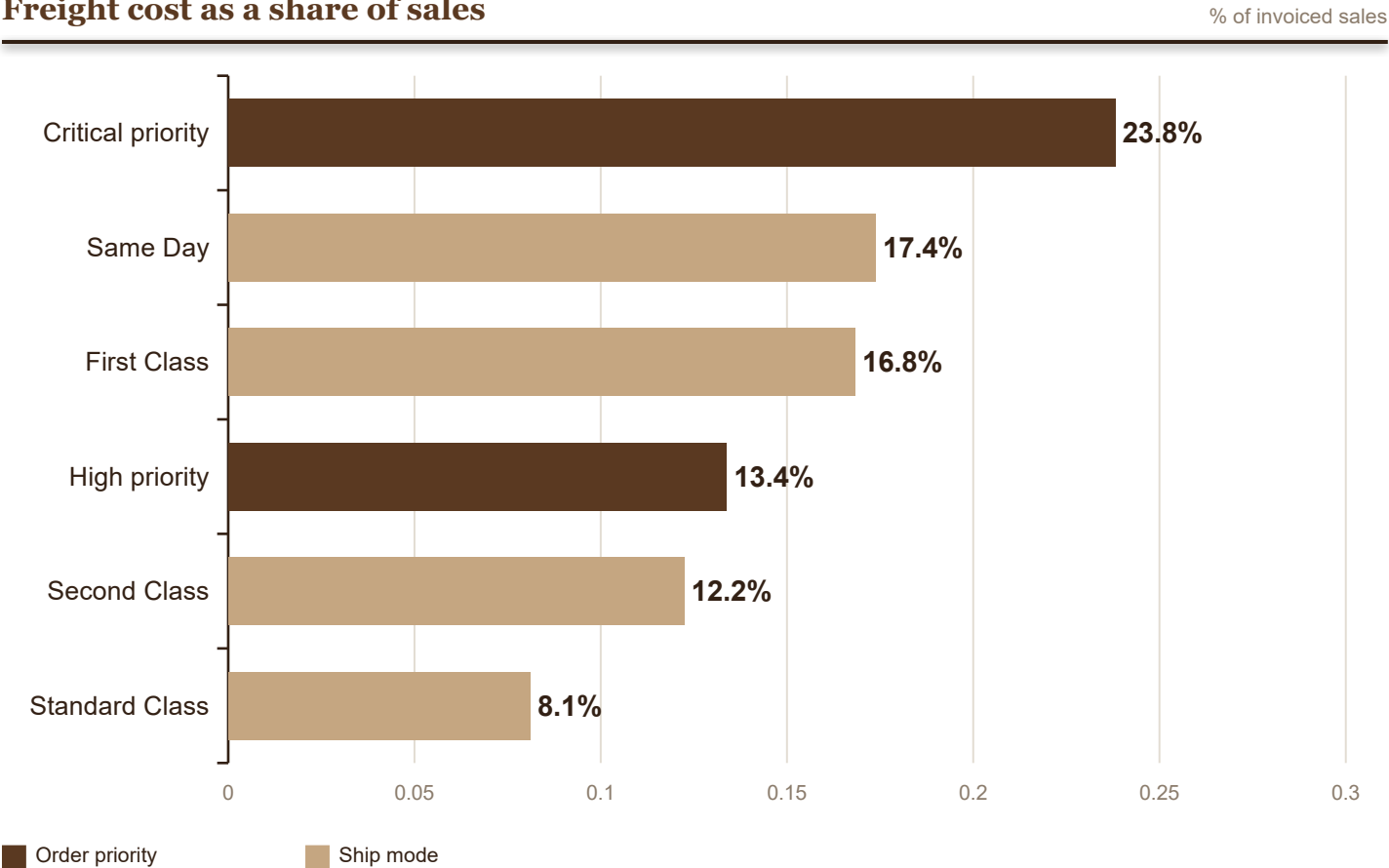
The 20% break-even

- Below 20% every line is profitable: margin runs from +25.3% at no discount to +9.9% at 10-20%.
- Above 20% every band is loss-making, sliding from -5.5% to -111%.
- 11,328 lines (22.1%) were priced above the 20% line and lost \$814,682 in total.
- Gross margin cannot cover concessions deeper than 20%, so the cap follows from the data.



Expedited orders lose up to 24% of sales value to freight

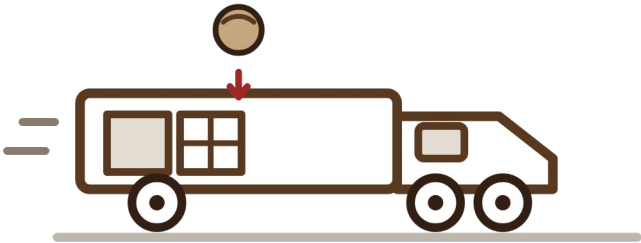
Freight cost as a share of sales



Source: Global Superstore transaction ledger, FY2011-FY2014. Freight ratio = shipping cost / gross sales.

Cost to serve is never charged back

- Critical-priority orders spend 23.8% of their sales value on freight; Same Day spends 17.4%.
- Standard Class spends only 8.1%, a third of the Critical rate.
- Company-wide freight is 10.7% of sales and is not passed through on bulky or expedited lines.
- Deep discounts and heavy freight co-occur on the same orders, so those orders struggle to recover.



Deep discounts, loss-making territories and bulky Tables drive the \$921K leak

Root cause	Evidence in the data	Where it concentrates	Profit recovered by the fix
Uncontrolled discounting	22.1% of lines were priced above a 20% discount Margin inverts at the 20% line, from +9.9% to -5.5%	Every market; worst in EMEA and LATAM	+\$1.03M
Loss-making overseas territories	Turkey -\$98K and Nigeria -\$81K at 60-70% average discounts EMEA margin 5.4% against 12-13% elsewhere	Turkey, Nigeria, Netherlands	+\$0.18M
Bulk freight on Tables	Tables -\$64K at a 29.1% average discount Expedited freight runs at 17-24% of sales	Tables within Furniture	+\$0.05M

Recovery exceeds the reported \$921K loss because capping discounts at 20% returns those lines to a positive margin (+9.9%), rather than just break-even.

Source: base-case simulation on the FY2011-FY2014 ledger, before the churn allowance. Figures are an analytics estimate, not a forecast.

\$1.23M of operating profit is recoverable on the full-ledger basis

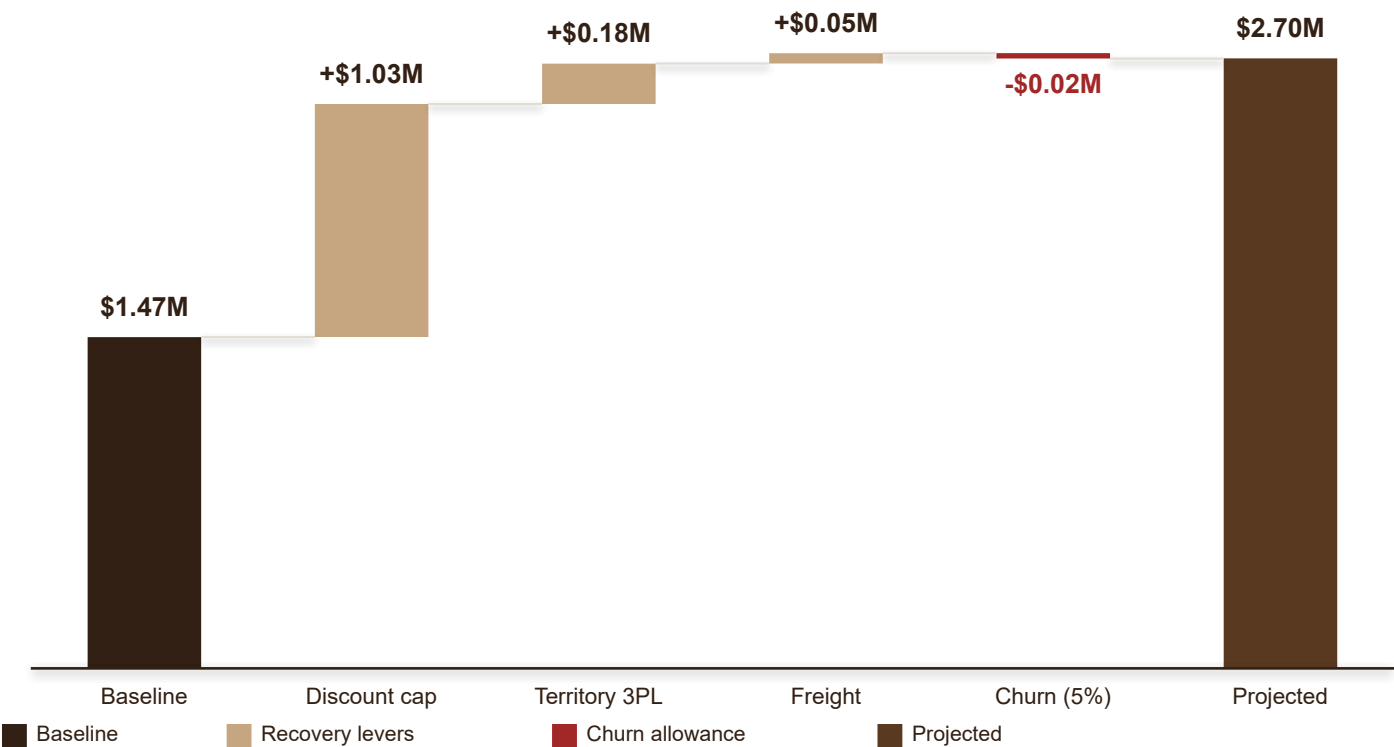
Initiative	Owner	Timing	KPI to track	Expected impact
1. Pricing governance: cap discounts at 20%	Chief Commercial Officer	Months 1-2	Orders above 15% discount: below 2% Average discount: below 12%	+\$1.03M
2. Restructure loss-making territories to third-party logistics (3PL)	VP Global Supply Chain	Months 3-4	Country operating margin: break-even within 90 days Freight: below 12% of sales	+\$0.18M
3. Tables freight pass-through and repricing	Head of Merchandising	Months 5-7	Tables operating margin: above +10% Dimensional freight recovery: 100%	+\$0.05M

Source: base-case simulation on the FY2011-FY2014 ledger; levers are gross and the \$1.23M headline is net of a churn allowance, about \$0.31M a year on the same run-rate. Modelling estimate, not a forecast.

The base case lifts operating profit 84% and margin to 19.9%

Operating profit bridge, baseline to projected

\$ million, FY2011-FY2014 ledger basis



The recovery path

- Baseline operating profit on the four-year ledger is \$1.467M at an 11.6% blended margin.
- The 20% discount cap contributes +\$1.03M, the largest single lever.
- Territory restructuring adds +\$0.18M and Tables freight + \$0.05M.
- After the churn allowance the company lands at \$2.70M and a 19.9% blended margin, about \$0.31M a year higher.

Source: analytics simulation on the FY2011-FY2014 ledger (base case: 20% cap, \$15 per table unit surcharge, full 3PL transition, 5% churn allowance). Modelling estimate, not a forecast.

The recommendation holds under conservative and aggressive assumptions

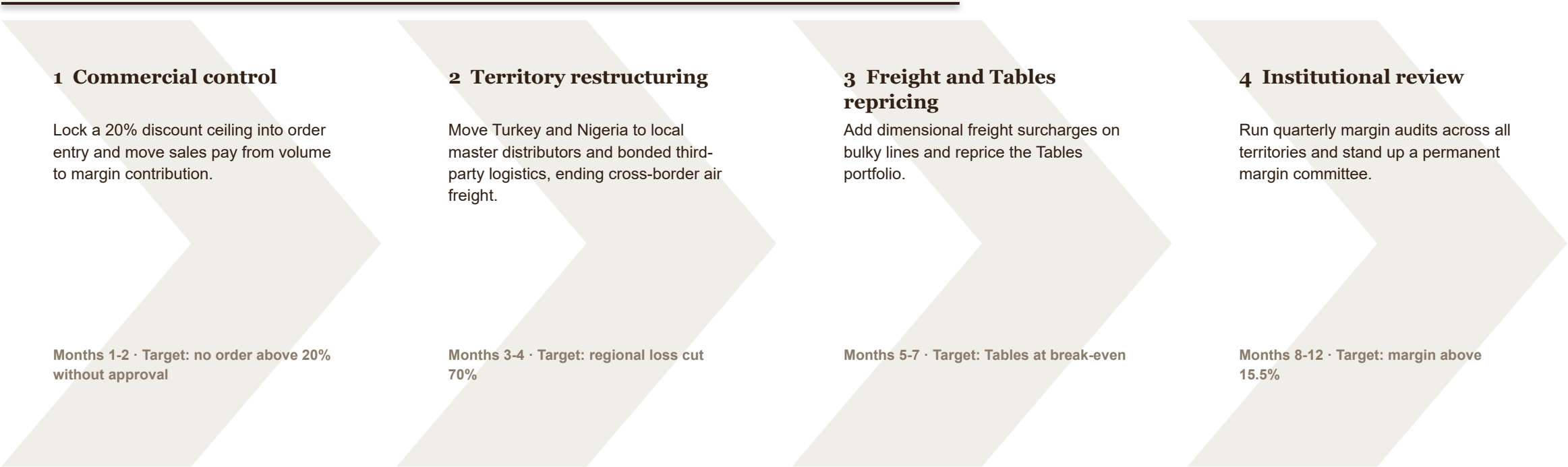
Scenario	Discount cap	Tables surcharge	Churn allowance	Projected profit	Margin	Uplift
Baseline (status quo)	No cap	\$0	0.0%	\$1.467M	11.6%	n/a
Conservative	25%	\$0	7.0%	\$2.373M	17.8%	+\$0.91M
Base case (recommended)	20%	\$15	5.0%	\$2.701M	19.9%	+\$1.23M
Aggressive	15%	\$25	3.0%	\$2.997M	21.7%	+\$1.53M

Source: analytics simulation on the FY2011-FY2014 ledger. Highlighted row is the recommended plan; all figures are on the four-year ledger basis and are modelling estimates, not forecasts.

Execution runs from immediate price controls to a permanent margin committee

Four-phase implementation

months 1-12



Source: turnaround plan derived from the FY2011-FY2014 diagnosis. Phase 1 begins on Board approval.

The Board must approve the 20% discount cap and 3PL restructuring this quarter

Three decisions requested

- **Approve the 20% discount cap** in order entry, with VP sign-off for discounts between 15% and 20% and a hard block above 20%.
- **Authorise the 3PL transition** for Turkey and Nigeria to remove the cross-border loss.
- **Charter a margin committee** chaired by the CFO to review discount leakage and Tables margin every quarter.



What the Board gets in return

+\$1.23M

Operating profit, full-ledger basis (+84% on \$1.467M)

19.9%

Operating margin, from 11.6% and above the 15.5% target

\$0

New capital spend required; Phase 1 is an order-entry rule

Decision today, first savings inside 90 days

Phase 1 needs no new capital and no new systems beyond an order-entry rule.

Source: base-case simulation on the FY2011-FY2014 ledger. Returns are on the four-year ledger basis and depend on the 5% churn assumption holding. Modelling estimate, not a forecast.

“Beware of little expenses; a small leak will sink a great ship.”



Benjamin Franklin

Prepared for the Board of Directors

Source data: Global Superstore transaction ledger, FY2011-FY2014 (51,290 order lines). Deck produced with consulting-pptx-skill (github.com/carnot-tech/consulting-pptx-skill).